23 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equities fell as mixed US mega-cap earnings renewed concerns around the AI trade, with technology stocks leading declines.

Safe-haven demand drove US Treasury yields sharply lower, while the France-Germany 10-year spread widened further to among its widest levels since the euro debt crisis.

The US dollar eased modestly, with the yen outperforming on safe-haven demand and driving much of the weakness in the greenback.

Oil prices rose sharply following deadly attacks in Saudi Arabia, with Brent climbing above US$110/bbl, while weaker risk sentiment weighed heavily on industrial metals.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.9	0.0%
AUD/USD	0.7019	-0.1%
AUD/JPY	110.12	-0.9%
AUD/GBP	0.5239	-0.2%
AUD/NZD	1.2348	0.2%
AUD/EUR	0.6258	0.0%
AUD/CNH	4.6844	-0.1%
AUD/SGD	0.8966	-0.1%
AUD/HKD	5.5012	-0.3%
AUD/CAD	0.9832	-0.4%
EUR/USD	1.1216	-0.1%
USD/JPY	156.88	-0.8%
USD Index	101.63	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.69	0.05
90 day BBSY	4.89	0.05
180 day BBSY	5.25	0.04
1 year swap	4.92	-0.04
2 year swap	4.87	-0.06
3 year swap	4.84	-0.07
4 year swap	4.86	-0.07
5 year swap	4.89	-0.07
6 year swap	4.92	-0.09
7 year swap	4.96	-0.10
8 year swap	5.01	-0.09
9 year swap	5.05	-0.10
10 year swap	5.09	-0.11

Equities	Close	Change
S&P/ASX 200	8,793	-0.4%
S&P 500	7,648	-1.4%
Japan Nikkei	62,908	-2.7%
Hang Seng	22,935	-3.0%
Euro Stoxx 50	6,087	-1.9%
UK FTSE100	10,725	-0.3%
VIX Index	19.73	18.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.91	0.00
10 year bond	5.25	-0.03
United States		
3-month T Bill	4.03	-0.03
2 year bond	4.65	-0.16
10 year bond	4.97	-0.15
Other (10 year yields)		
Germany	3.33	-0.09
Japan	2.87	-0.01
UK	5.33	-0.05

Commodities	Current	Change
CRB Index	414.98	-0.1%
Gold	4028.44	-2.7%
Copper	14078	-1.9%
Oil (WTI futures)	99.28	2.2%
Coal (coking)	266.00	0.0%
Coal (thermal)	154.45	1.3%
Iron Ore	89.95	-1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	-0.08
3 yr bond	4.85	-0.07
3 mth bill rate	4.77	0.00
SPI 200	8,781	-0.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets moved lower overnight as mixed US mega-cap earnings renewed concerns around the AI trade. A sharp rise in oil prices following deadly attacks in Saudi Arabia added to the risk-off tone, driving safe-haven demand for US Treasuries.

- US equities came under pressure as investors again questioned the prospective returns from significant AI-related capital spending and elevated valuations, while ongoing hostilities in the Middle East further weighed on sentiment. The S&P 500 fell 1.4%, while the NASDAQ led declines, down 2.6%. The Dow Jones fared better, finishing broadly unchanged, while the VIX rose 18.3%. European equities also moved lower, with the Euro Stoxx 50 down 1.9% and the FTSE 100 declining 0.3%.
- Asian equities were again hit by concerns around the AI trade, with mixed earnings from US mega-caps failing to improve sentiment. Semiconductor stocks weighed heavily on the KOSPI, which fell 3.5%, while the Hang Seng declined 3.0% and the Nikkei 225 lost 2.7%. Locally, the ASX 200 fell 0.4%.
- US Treasuries were the primary beneficiary as global risk sentiment deteriorated. Safe-haven demand saw the 2-year Treasury yield fall 16bps, while the 10-year yield declined 15bps. Futures markets have pared expectations for further rate hikes in 2026, taking the implied year-end fed funds rate to 4.09%. In Europe, the 10-year Bund yield fell 9bps while the French 10-year government bond yield rose 6bps, widening the France-Germany spread further to 1.74 percentage points, among its widest levels since the euro debt crisis.
- Australian government bond yields were little changed, with the 3-year yield flat and the 10-year yield falling 3bps. Swap markets remain unconvinced of additional RBA tightening in 2026, although the implied probability of a November move remains elevated at 54% following hawkish comments from RBA Deputy Governor Hauser on Wednesday, taking the implied year-end cash rate to 4.81%.
- The US dollar lost some ground, with the DXY down 0.1%. The AUD slipped 0.1% against the greenback to 0.7019, while the euro also declined 0.1% and the sterling was broadly unchanged. The yen drove the relative weakness in the USD, gaining 0.8% on safe-haven demand.
- Oil prices rose sharply as deadly attacks in Saudi Arabia heightened concerns around an escalation in the conflict. President Trump claimed in a Truth Social post that Iran was doing everything it could to drive oil prices higher ahead of the US midterms. Brent climbed 4.0% to US$113/bbl, while WTI gained 2.2% to US$99.3/bbl. Dated Brent traded at US$124/bbl.
- Gold fell 2.7% amid higher oil prices and renewed inflation concerns. Industrial metals were hit hard by weaker global risk sentiment, with copper falling 1.9%, compounded by its exposure to the AI trade, while aluminium declined 1.1% and iron ore lost 1.3%.

Today's key data and events

Time	Event	Exp	Prev
10:01	GB GfK Consumer Sentiment Oct	-14pts	-13pts
10:30	JP CPI Sep	2.1%	1.9%
11:30	JP S&P Global Mfg. PMI Oct Prel.	-	54.1pts
11:30	JP S&P Global Services PMI Oct Prel.	-	51.3pts
17:00	GB Retail Sales Sep	-0.1%	0.5%
19:00	EZ S&P Global Mfg. PMI Oct Prel.	52.8pts	52.9pts
19:00	EZ S&P Global Services PMI Oct Prel.	52.5pts	53pts
19:30	GB S&P Manufacturing PMI Oct Prel.	51.8pts	51.9pts
19:30	GB S&P Services PMI Oct Prel.	51.8pts	52.1pts
0:45	US S&P Manufacturing PMI Oct Prel.	55.5pts	55.9pts
0:45	US S&P Services PMI Oct Prel.	58pts	58.8pts
1:00	US Uni. Of Michigan Sentiment Oct Final	46.3pts	46.3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 200k to 194k last week, indicative of little-to-no job shedding.

The **US leading index** edged up from -0.1% to 0.0%, pointing to growth around trend over the coming 6 months.

The **Kansas City Fed manufacturing index** declined from 14 to 11 in October, though the current level is still well above the average of the past 5 years.

Euro Area consumer confidence edged down from -16.8 to -17.9 in October, holding modestly below the 5 year average of -15.3.

Local Data

In New Zealand, **CPI** rose 0.7%qtr in Q3 (3.7%yr), while measures of core inflation took a step higher (see here). Our New Zealand team now expects the **RBNZ** to raise the OCR by 25bps to 3.00% at its October policy review (see here).

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